



Economics 351

Monetary Economics

Spring 2026

Meeting Time and Place: 8:10 – 9:25 AM, Monday and Wednesday, HBB 121

Course Credit Hours: 3

Faculty Contact Information

Instructor: Pengzhen Li
Office: Cherokee Mills Building, Office F154
Office Hours: 10:00 – 11:00 AM MW, or by appointment via Zoom
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Course Description

This course examines the principles and dynamics of monetary economics, exploring how monetary factors influence economic systems. We study key drivers of monetary policy, financial stability, and the role of money in economic transactions. You will develop models to understand how money impacts price levels, interest rates, employment, and overall economic activity. The course covers both theoretical and practical aspects, focusing on the operation of financial institutions, the behavior of money markets, and the interaction between monetary and fiscal policies.

Required Text

Frederic S. Mishkin (2021). *The Economics of Money, Banking, and Financial Markets*, 13th Edition. Pearson.

You are responsible for all class material, primarily from the textbook, with handouts on Canvas and additional readings assigned as needed.

Student Learning Outcomes / Objectives

By the end of the course, students will be able to:

- Develop a thorough understanding of the nature of money, key financial concepts, institutions, and financial instruments.
- Describe the history, structure, philosophy, and impact of the U.S. Federal Reserve System on the U.S. economy.
- Explain various theories of interest rate determination and their foundational principles.
- Analyze how credit markets influence economic activity and growth.
- Evaluate the effectiveness of monetary economic policy through various theoretical perspectives, and engage in current debates on Federal Reserve actions.
- Understand the role of international trade and financial flows in shaping U.S. interest rates,

currency values, and inflation.

- Gain familiarity with contemporary domestic and international financial issues, including the global buildup of debt.

Attendance Policy

This course will primarily follow a lecture format, making class attendance crucial for your success. Regular attendance is expected, and I will take attendance at every class session. You are permitted up to three absences to account for school-related events, illnesses, or emergencies. Absences for school functions must be documented in advance to be excused. **Please note:** you will not be allowed to take the quiz if you are absent unless your absence is due to a documented school function. Beyond the three allowed absences, each additional absence will result in a penalty point being deducted from your grade.

Participation

This class is designed to be interactive, emphasizing discussion and engagement. I often pose questions or hypothetical scenarios to gauge your understanding and encourage critical thinking. Similarly, I strongly encourage you to ask questions—there are no “dumb” questions! Your questions help me identify and address any confusion, so don’t hesitate to speak up. Class participation is more than just showing up; it involves contributing thoughtful questions and comments that reflect creative and critical thinking. Alternative viewpoints and active discussions are highly valued. Remember, I’m here to support your learning, and the only way I can ensure clarity is if you let me know when something isn’t clear. Whether it’s a minor confusion or a broader issue, asking questions benefits you and the entire class.

Course Resources

This class will use Canvas as the primary location for all class files and assignments. Communication regarding changes to the course or reminders will occur in Canvas announcements.

Grading and Evaluation Policies

Exams:

This course will have three exams throughout the semester (two midterm exams and a mandatory, comprehensive final). If you miss one exam, I will arrange a makeup exam only in case of extreme emergency (with legitimate documentation). If you have a medical or family emergency, you must obtain a letter from the Dean of Students at the Division of Student Life. The Dean of Students will only grant letters if you have a severe illness or extenuating family circumstances. If you know that you will miss an exam due to pre-planned, legitimate travel (i.e., sports team travel, conference, etc.), please notify me beforehand, and we will schedule your makeup exam time before your trip.

A student who misses an exam with an excused absence should meet with the instructor to schedule a make-up exam at the instructor’s convenience.

Expected Exam Dates:

- Exam 1: February 23, 8:10 – 9:25 AM
- Exam 2: April 8, 8:10 – 9:25 AM
- Final exam: TBD

The dates of Exams 1 and 2 are subject to change based on where we are in the material. You will be informed of the actual test date at least a week in advance.

Quizzes and Assignments:

There will be five in-class quizzes and five take-home assignments throughout the course. The quizzes may or may not be announced before class, so students should always come prepared.

Grading Scale

Your final course grade will comprise several factors, each with different weights, as seen below.

Exam 1:	20%
Exam 2:	20%
Exam 3 (Final):	30%
In-class quizzes:	10%
Assignments:	20%
Total	100%

Final Course Letter Grades

Grades will be determined according to the following scale:

Course Percentage	Letter Grade
92.0% – 100%	A
90.0% – 91.99%	A–
88.0% – 89.99%	B+
79.0% – 87.99%	B
76.0% – 78.99%	B–
70.0% – 75.99%	C+
67.0% – 69.99%	C
65.0% – 66.99%	C–
60.0% – 64.99%	D
Less than 60%	F

Note: The B range is the broadest, while the C+ range is fairly generous. Students earning below a C– are strongly encouraged to retake the course to improve their understanding of the material. No rounding will be applied to final averages—grades are determined precisely as calculated. Attendance may impact your final grade, so consistent participation is essential.

Tentative Course Outline

The table below lists the planned topics for each day. This outline is subject to change at the instructor's discretion (as we move faster/slower).

Day	Date	Class Topic (Tentative)	Chapter
Module 1: Introduction			
Day 1	1/21	Why Study Money, Banking, and Financial Markets?	1
Day 2	1/26	An Overview of the Financial System	2
Day 3	1/28	What Is Money?	3
Module 2: Financial Markets			
Day 4	2/02	The Meaning of Interest Rates	4
Day 5	2/04	The Behavior of Interest Rates – Part 1	5
Day 6	2/09	The Behavior of Interest Rates – Part 2	5
Day 7	2/11	Risk and Term Structure of Interest Rates	6
Day 8	2/16	The Stock Market and Efficient Markets Hypothesis	7
Module 3: Financial Institutions			
Day 9	2/18	An Economic Analysis of Financial Structure	8
Day 10	2/23	Exam 1 (Modules 1 & 2)	
Day 11	2/25	Banking and Financial Institutions	9
Day 12	3/02	Financial Regulation	10
Day 13	3/04	Banking Industry	11
Day 14	3/16	Financial Crises and Their Impact	12
Module 4: Central Bank			
Day 15	3/18	Central Banks and the Federal Reserve System	13
Day 16	3/23	The Money Supply Process – Part 1	14
Day 17	3/25	The Money Supply Process – Part 2	14
Day 18	3/30	Tools of Monetary Policy	15
Day 19	4/01	The Conduct of Monetary Policy	16
Module 5: Monetary Theory			
Day 20	4/06	Quantity Theory, Inflation, and the Demand for Money	19
Day 21	4/08	Exam 2 (Modules 3 & 4)	
Day 22	4/13	The IS Curve	20
Day 23	4/15	The Aggregate Demand Curves	21
Day 24	4/20	Aggregate Demand and Supply Analysis – Part 1	22
Day 25	4/22	Aggregate Demand and Supply Analysis – Part 2	22
Day 26	4/27	Monetary Policy Theory	23
Day 27	4/29	The Role of Expectations in Monetary Policy	24
Day 28	5/04	Transmission Mechanisms of Monetary Policy	25
Day 29	TBD	Exam 3 – Final (Modules 1–5)	
*subject to change			

Academic Integrity

Maintaining academic integrity is essential to fostering an atmosphere of intellectual honesty and mutual respect at the University of Tennessee, Knoxville. All students in this course are expected to uphold the highest standards of academic conduct.

As part of UTK's Honor Statement, students affirm their commitment to academic integrity:

UT honor code statement:

“An essential feature of the University of Tennessee, Knoxville, is a commitment to maintaining an atmosphere of intellectual integrity and academic honesty. As a student of the university, I pledge that I will neither knowingly give nor receive any inappropriate assistance in academic work, thus

affirming my own personal commitment to honor and integrity.”

Violations of academic integrity, such as cheating, plagiarism, or any other form of dishonest conduct, will not be tolerated. Any student found in violation of the Student Code of Conduct will: (1) receive a zero on the assignment/test in question; (2) be reported to the Office of Student Conduct and Community Standards. Consequences of academic misconduct may include academic sanctions, suspension, or expulsion. For more information, please review the Student Code of Conduct at <http://studentconduct.utk.edu/>.

Students with Disabilities

Any student who feels they may need accommodation based on the impact of a disability should contact the Office of Disability Services (ODS) at 865-974-6087 in 100 Dunford Hall to document their eligibility for services. ODS will work with students and faculty to coordinate reasonable accommodations for students with documented disabilities. If you have a documented disability and need special accommodations, please discuss this with me as soon as possible. Special accommodations will be handled discreetly.

University Civility Statement

Civility is genuine respect and regard for others: politeness, consideration, tact, good manners, graciousness, cordiality, affability, amiability, and courteousness. Civility enhances academic freedom and integrity and is a prerequisite to the free exchange of ideas and knowledge in the learning community. Our community consists of students, faculty, staff, alumni, and campus visitors. Community members affect each other’s well-being and have a shared interest in creating and sustaining an environment where all community members and their points of view are valued and respected. Affirming the value of each member of the university community, the campus asks that all its members adhere to the principles of civility and community adopted by the campus: <http://civility.utk.edu/>.

COVID-19 Guidelines

With the spread of the various variants of COVID-19, students must follow local laws and regulations. If you need to miss class because of illness, contact me in advance via email (pli26@vols.utk.edu).

Copyright Policy

The instructor of this class owns the copyright to the syllabus, handouts, assignments, quizzes, and exams associated with the class. All presentations developed by the instructor, as well as the instructor’s lectures, are also protected by copyright, whether these presentations and lectures are delivered live in-class, shared through Zoom or other video conference platforms, or uploaded to Canvas or similar sites.

Sharing any of this material without the written permission of the instructor is a violation of copyright law, and is therefore also a violation of the University’s policy on acceptable use of information technology resources (UT policy number IT0110). That policy states that students will not commit copyright infringement, “including file-sharing of video, audio, or data without permission from the copyright owner,” and that file sharing is a violation of the University’s student code of conduct. I will report all such violations to the Office of Student Conduct and Community Standards.

The instructor reserves the right to revise, alter or amend this syllabus as necessary. Students will

be notified in writing / email of any such changes.